

HOUSE BILL 1322

By Lamberth

AN ACT to amend Tennessee Code Annotated, Title 49,
Chapter 13, relative to charter schools.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-13-104, is amended by deleting subdivision (4) and substituting instead:

(4) "Authorizer" means a local board of education, the Tennessee public charter school commission, or the achievement school district as defined in § 49-1-614, that makes decisions regarding approval, renewal, and revocation of a public charter school application or agreement;

SECTION 2. Tennessee Code Annotated, Section 49-13-104, is amended by adding the following as a new subdivision:

() "Replication" means the creation of one (1) or more charter schools pursuant to the process authorized in § 49-13-137 that utilize the same academic focus of an existing charter school operated by a sponsor or governing body;

SECTION 3. Tennessee Code Annotated, Section 49-13-106(i), is amended by deleting the subsection and substituting instead:

(i) If a sponsor seeks to establish a new public charter school, including an opportunity charter school, then the sponsor must apply to the local board of education or to the commission, if direct application to the commission is authorized in this chapter.

SECTION 4. Tennessee Code Annotated, Section 49-13-107(a), is amended by deleting "department of education" and substituting instead "commission".

SECTION 5. Tennessee Code Annotated, Section 49-13-107(a), is amended by adding the following language at the end of the subsection:

The commission shall make letters of intent received by the commission available on its website no later than ten (10) days from the date on which the letter was received.

SECTION 6. Tennessee Code Annotated, Section 49-13-107(b), is amended by deleting the language that precedes the colon ":" and substituting instead:

On or before February 1 of the year preceding the year in which the proposed public charter school plans to begin operation, the sponsor seeking to establish a public charter school shall prepare and file with the authorizer an application using an application template developed by the state board of education in coordination with the commission. The authorizer shall report each application received by the authorizer to the commission no later than ten (10) days from the date on which the authorizer received the application. A completed application must provide the following information and documents

SECTION 7. Tennessee Code Annotated, Section 49-13-108, is amended by deleting subdivision (b)(4).

SECTION 8. Tennessee Code Annotated, Section 49-13-108(b)(5), is amended by deleting the language "Beginning immediately upon the repeal of subdivision (b)(4)" and substituting instead the language "Beginning on January 1, 2021".

SECTION 9. Tennessee Code Annotated, Section 49-13-108(b)(5)(D), is amended by deleting the language "department of education's" and substituting instead "state board of education's".

SECTION 10. Tennessee Code Annotated, Section 49-13-108(g), is amended by adding the language "and the commission" after "department of education".

SECTION 11. Tennessee Code Annotated, Section 49-13-108(g), is amended by adding the language "and the commission" after "provide the department".

SECTION 12. Tennessee Code Annotated, Section 49-13-108, is amended by deleting the language "This section only applies to" in subdivision (b)(1) and substituting instead the language "Subsections (b)-(d) only apply to" and by adding the following new subsections:

(h)

(1) Beginning on July 1, 2025, if the commission has overturned a local board of education's decision to deny a public charter school application on three (3) separate occasions within a three-consecutive-year period, then, for the five-consecutive-year period immediately following the date on which the commission overturned the board's third decision to deny a public charter school application within the last three (3) years, any sponsor that seeks to establish a new public charter school in that LEA may apply directly to the commission.

(2) If a sponsor elects to apply directly to the commission pursuant to this subsection (h), then the application process must be conducted in accordance with § 49-13-107 and with the following:

(A) The commission shall rule by resolution, at a regularly or specially called meeting, to approve or deny a public charter school application no later than ninety (90) days after the date on which the commission received the completed application. If the commission fails to approve or deny a public charter school application within ninety (90) days, then the public charter school application is deemed approved;

(B) If the commission denies an application, then the grounds for denial must be stated in writing and must specify objective reasons for the denial. Upon receipt of the grounds for denial, the sponsor has thirty (30)

days to submit an amended application to correct any deficiencies. Upon receipt of the amended application, the commission has sixty (60) days to deny or approve the amended application. If the commission fails to approve or deny the amended application within sixty (60) days, then the amended application is deemed approved;

(C) If the commission approves an application, then the commission is the authorizer and LEA for that public charter school; and

(D) The commission's decision is final and not subject to appeal.

(3) After the five-consecutive-year period during which a sponsor may apply directly to the commission for approval pursuant to this subsection (h), a sponsor that seeks to establish a new public charter school must apply directly to the local board of education unless the conditions in subdivision (h)(1) are met in the future.

(i)

(1) A public institution of higher education in this state that seeks to open a public charter school may apply to the local board of education or directly to the commission. If a public institution of higher education in this state elects to apply directly to the commission for approval of its public charter school application, then the application process must be conducted in accordance with § 49-13-107.

(2) Notwithstanding § 49-13-113(d)(6), a public charter school sponsored by a public institution of higher education in this state may give an enrollment preference to children of the public institution of higher education's employees or members of the institution's governing body, not to exceed twenty-five percent (25%) of the public charter school's total enrollment.

SECTION 13. Tennessee Code Annotated, Section 49-13-110(d), is amended by deleting the subsection and substituting instead:

(d) The governing body of the public charter school may petition the authorizer to amend the charter agreement. The commission shall determine the timelines for approval and the appeal process. If the authorizer is the commission, then an appeal shall not be made of the commission's decision to deny a petition to amend the charter agreement. The governing body of a public charter school may petition the authorizer for voluntary termination of the charter agreement before the charter agreement expires.

SECTION 14. Tennessee Code Annotated, Section 49-13-111(a)(4), is amended by deleting "Except as provided in § 49-13-142(d), receive" and substituting instead "Receive".

SECTION 15. Tennessee Code Annotated, Section 49-13-116(a), is amended by deleting "department" and substituting instead "state board".

SECTION 16. Tennessee Code Annotated, Section 49-13-116(b), is amended by deleting "department of education" and substituting instead "commission".

SECTION 17. Tennessee Code Annotated, Section 49-13-116(b), is amended by adding the following language at the end of the subsection:

The commission shall annually make the information described in this subsection
(b) available on its website.

SECTION 18. Tennessee Code Annotated, Section 49-13-120, is amended by deleting the section and substituting instead:

(a) The commissioner of education shall prepare an annual report on public charter schools that includes, at a minimum:

- (1) Public charter school enrollment;
- (2) Geographic distribution of public charter schools; and

(3) Public charter school performance, as evidenced by the information provided pursuant to subdivision (b)(3).

(b) In addition to the annual audit of accounts and records of its approved public charter schools pursuant to § 49-13-127, each authorizer shall, by January 1 each year, submit an annual authorizing report to the state board of education and make the annual authorizing report available on its website. The annual authorizing report must include:

(1) The operating status of the public charter schools approved by the authorizer with a designation of:

- (A) Approved, but not yet open;
- (B) Open and operating;
- (C) Revoked, including the reason for revocation;
- (D) Nonrenewed; or
- (E) Closed, including the closing date and reason for closing;

(2) The oversight and contracted services, if any, provided by the authorizer to the public charter schools approved by the authorizer; and

(3) A performance report for each public charter school it oversees, in accordance with the performance framework set forth in the charter agreement.

SECTION 19. Tennessee Code Annotated, Section 49-13-121(a), is amended by deleting "department of education" and substituting instead "state board of education in consultation with the commission".

SECTION 20. Tennessee Code Annotated, Section 49-13-121(a), is amended by adding the following language at the end of the subsection:

The authorizer shall report each renewal application received by the authorizer to the commission no later than ten (10) days from the date on which the authorizer received the renewal application.

SECTION 21. Tennessee Code Annotated, Section 49-13-121(d), is amended by deleting "progress reports" and substituting instead "authorizing report".

SECTION 22. Tennessee Code Annotated, Section 49-13-121(e), is amended by deleting the subsection.

SECTION 23. Tennessee Code Annotated, Section 49-13-121(f), is amended by deleting "Beginning immediately upon the repeal of subdivision (e)" and substituting instead "Beginning on January 1, 2021".

SECTION 24. Tennessee Code Annotated, Section 49-13-121(f)(3), is amended by deleting the subdivision and substituting instead:

(3) Notwithstanding subsection (g), the first sentence of § 49-13-110(b), and § 49-13-110(c), if the commission approves the renewal of a charter agreement on appeal from a local board of education, then the public charter school and the commission shall enter into a renewed charter agreement in accordance with § 49-13-110(a) for a term of no less than five (5) academic years, but no more than ten (10) academic years, as determined by resolution of the commission.

SECTION 25. Tennessee Code Annotated, Section 49-13-121(i), is amended by adding the language "and commission" after "department of education".

SECTION 26. Tennessee Code Annotated, Section 49-13-121(k), is amended by deleting "department of education" and substituting instead "state board of education".

SECTION 27. Tennessee Code Annotated, Section 49-13-121, is amended by adding the following as a new subsection:

() Notwithstanding subsection (g), the first sentence of § 49-13-110(b), and § 49-13-110(c), if the commission approves the renewal of a charter agreement in accordance with § 49-1-614(k)(2)(B) or § 49-1-614(k)(4), then the public charter school and the commission shall enter into a renewed charter agreement in accordance with §

49-13-110(a) for a term of no less than five (5) academic years, but no more than ten (10) academic years, as determined by resolution of the commission.

SECTION 28. Tennessee Code Annotated, Section 49-13-122(g), is amended by adding the language "and commission" after "department of education".

SECTION 29. Tennessee Code Annotated, Section 49-13-128(f), is amended by deleting the subsection and substituting instead:

(f) By December 1 of each year, each LEA that collects an annual authorizer fee shall report the total amount of authorizer fees collected in the previous school year and the authorizing obligations fulfilled using the fee to the state board of education. The state board shall create a standard template for purposes of the report and shall post the information received from each LEA on its website by December 11 of each year.

SECTION 30. Tennessee Code Annotated, Section 49-13-133(b), is amended by deleting "department" and substituting instead "state board of education".

SECTION 31. Tennessee Code Annotated, Section 49-13-142, is amended by deleting the section.

SECTION 32. Tennessee Code Annotated, Section 49-13-143(a), is amended by deleting "department" wherever it appears and substituting instead "state board".

SECTION 33. Tennessee Code Annotated, Section 49-13-143(b), is amended by deleting the second sentence of the subsection and substituting instead:

If an authorizer has not adopted a performance framework for all of the authorizer's schools, then the authorizer must adopt the model performance framework developed by the state board pursuant to subsection (a).

SECTION 34. Tennessee Code Annotated, Title 49, Chapter 13, is amended by adding the following new section:

49-13-137. Replication application.

(a) A governing body that has at least one (1) public charter school authorized by a local board of education or by the commission that has been in operation for at least one (1) full school year at the time the governing body submits its letter of intent pursuant to § 49-13-107(a) may apply for replication in the LEA in which the governing body is currently operating to the local board of education or directly to the commission. The state board of education, in consultation with the commission, shall develop a replication application form for purposes of this section.

(b) If the sponsor of the new public charter school by way of replication elects to apply directly to the commission, then the application process must be conducted in accordance with § 49-13-107 and with the following:

(1) The commission shall rule by resolution, at a regularly or specially called meeting, to approve or deny a replication application no later than ninety (90) days from the date on which the commission received the completed application. If the commission fails to approve or deny a replication application within ninety (90) days, then the application is deemed approved;

(2) If the commission denies a replication application, then the grounds for denial must be stated in writing and must specify objective reasons for the denial. Upon receipt of the grounds for denial, the sponsor has thirty (30) days to submit an amended replication application to correct any deficiencies. Upon receipt of the amended application, the commission has sixty (60) days to deny or approve the amended application. If the commission fails to approve or deny the amended application within sixty (60) days, then the amended application is deemed approved;

(3) If the commission approves a replication application, then the commission is the authorizer and LEA for that public charter school; and

(4) The commission's decision is final and not subject to appeal.

(c) This section does not prohibit a governing body from applying for replication to the local board of education through the application process in § 49-13-108(b).

SECTION 35. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 36. This act takes effect July 1, 2025, the public welfare requiring it.